

## Why Bother?

You can  
improve your  
credit score  
virtually  
overnight!

Your credit score is the heavy hitter in the credit world, and you want to be able to hit it out of the park. If you don't pay attention to your credit score, it can end up hitting you over the head month after month after month. The number you receive as your credit score is the determining factor for your ability to obtain credit and the way credit is given to you. A low credit score can potentially prevent you from receiving loans, or worse, you will get credit but your interest rate will be significantly higher than someone who has excellent credit.

The number matters. A low credit score can cost you big bucks over the life of your loans. If you have a mortgage, a student loan, and a car loan, a low credit score means you will pay thousands of dollars more in interest fees.

## My Point

For example, let's take three regular guys with three regular credit scores. Doug applies for a home mortgage loan in the amount of \$275,000. His credit score was 700, so he is considered a pretty good risk. For a 30-year fixed rate mortgage, he qualifies for an interest rate of 5.6%. His monthly payment will be \$1,579.

Tom has a credit score of 675. He qualifies for an interest rate of 6.1% for the same mortgage loan. His monthly payment is \$1,666.

Enter Regular Guy #3. Dave also wants a 30-year fixed rate mortgage in the amount of \$275,000. His credit score is 620. He is approved for an interest rate of 7.3%. His monthly mortgage payment is \$1,885.

All three gentlemen are approved for a 30-year fixed rate mortgage for \$275,000. It is the credit score that makes all the difference. Because his credit score was lower than Doug's, at the end of the 30-year life of the mortgage loan, Tom will have paid a whopping \$31,596 more in interest dollars. When Dave can finally burn his mortgage papers